

Though the longevity estimates are more fine-tuned and will differ a bit from the data source I use in relevant examples, the Longevity Illustrator from the Society of Actuaries and the American Academy of Actuaries is a free resource that readers may wish to utilize. It provides longevity estimates based on gender, age, smoking status, and an overall evaluation of health. This allows for a bit more fine-tuning for your individual situation. The Longevity Illustrator accounts for the three concerns expressed earlier: longevity is expressed conditional on already living to a particular age, longevity is based on projections for future mortality improvements, and longevity is based on an appropriate self-selected population (as you have chosen) with more similar mortality characteristics.

An individual's longevity risk aversion determines how he or she will evaluate the trade-off between how a higher planning age improves the odds that a plan will work and how it reduces the sustainable spending amount. As an example, let us consider a sixty-five-year-old female who decides that her appropriate planning horizon is the age for which there is only a 10 percent chance she might live even longer. Assuming the Society of Actuaries mortality data is the correct objective mortality data to apply for her case, she can use this to decide on a percentile of the longevity distribution. For instance, if she is willing to accept a 10 percent chance she will live beyond her planning horizon, then her appropriate planning age is one hundred. Precisely, there is a 10 percent chance she will live beyond age 100.1. She plans for thirty-five years of retirement spending from sixty-five through ninety-nine, with an assumption she will pass away on her one hundredth birthday. We might assume this is the planning age that she is comfortable using with respect to her longevity risk aversion and then build her financial plan around this.

There is no one-size-fits-all answer about the appropriate planning age. This requires careful thought about whether it is reasonable to plan for more or less than typical life expectancies. You also need to make a decision about how much you are willing to risk outliving your wealth by choosing a shorter horizon and a higher withdrawal rate. For retirees who are self-managing their longevity risk, the idea is to choose a sufficiently long time